Balance sheet as on 31st March 2019

Liabilities	₹	₹	Assets	₹	₹
Capital accounts:			Buildings	60,000	
Raghu	42,400		Add: Appreciation	12,000	72,000
Ravi	58,600	1,01,000	Machinery	70,000	
Ramesh's loan		31,000	Less: Depreciation	7,000	63,000
Sundry creditors		50,000	Stock	20,000	
			Add: Appreciation	2,000	22,000
			Debtors	18,000	
			Less: Provision for bad debts	2,000	16,000
			Cash at bank		9,000
		1,82,000			1,82,000

Tutorial note

1. As new profit sharing ratio and proportion of gain is not given, it is assumed that the continuing partners gain in their old profit sharing ratio of 2:3.

2. Ramesh share of goodwill = $24,000 \times \frac{1}{6}$ = ₹ 4,000

   Goodwill of Ramesh to be borne by

   Raghu: 4,000 × 2/5 = ₹ 1,600

   Ravi : 4,000 × 3/5 = ₹ 2,400

Illustration 19

Muthu, Murali and Manoj are partners in a firm and sharing profits and losses in the ratio 3:1:2. Their balance sheet as on 31st December, 2018 is given below:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Machinery	45,000
Muthu	20,000		Furniture	5,000
Murali	25,000		Debtors	30,000
Manoj	20,000	65,000	Stock	20,000
General reserve		6,000		
Creditors		29,000		
		1,00,000		1,00,000

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